EQUITY VALUATION · NYSE: KO

The Coca-Cola Company

Discounted Cash Flow Valuation

Valuation date: 31 December 2025

Emanuele Fioretto

EXECUTIVE SUMMARY

Fairly valued to modestly overvalued: the base case points to $62.03 per share

The base-case DCF values Coca-Cola at **$62.03 per share** at 31 December 2025, **11.3% below** the $69.91 market price. The company is a highly profitable, cash-generative franchise, but at this price the market already discounts a low cost of capital.

INTRINSIC VALUE	MARKET PRICE	IMPLIED DOWNSIDE	WACC / GROWTH (G)
$62.03	**$69.91**	**–11.3%**	**6.58% / 2.0%**
per share	31 Dec 2025	vs. market price	enterprise value $279.2 bn

- **Quality is not the issue.** Gross margin of 61.6% and an adjusted EBIT margin of 31.3% in 2025 support free cash flow to the firm rising from $11.0 bn in 2026E to $13.5 bn in 2030E (5.3% a year).
- **Growth is steady, not spectacular.** Revenue is projected to grow 3.2% a year over 2025–30E (2023–25: 2.4%), fading towards the 2.0% terminal rate.
- **The value sits in the terminal period.** 81% of enterprise value comes from the terminal value, so small changes in WACC or growth move the answer materially.
- **What the market is pricing.** The current price is reproduced at a WACC of about 6.1% (vs. 6.58%) with 2.0% growth. On the model's own bridge, the market implies 19.5× 2025 adjusted EBITDA, against 17.4x in the base case.

Company snapshot

Coca-Cola sells its beverages in more than 200 countries and territories. About 59% of revenue comes from concentrate operations (concentrates and syrups sold to bottling partners) and 41% from finished-product operations run mainly through consolidated bottlers. In 2025 revenue rose 2% to $47.9 bn: price/mix added 4 points and concentrate volume 1 point, offset by currency (–2) and portfolio changes (–1). North America (41% of revenue) and EMEA (23%) are the largest segments.

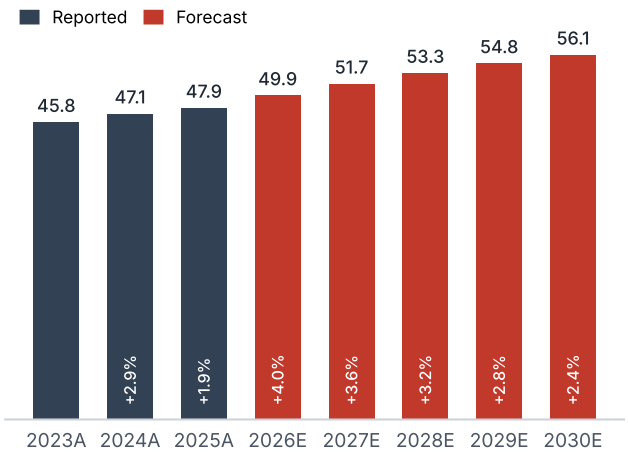
$ million	2023A	2024A	2025A
Net operating revenues	45,754	47,061	47,941
growth, %	–	2.9%	1.9%
Gross margin, %	59.5%	61.1%	61.6%
Adjusted EBIT[1]	13,262	14,155	15,023
margin, %	29.0%	30.1%	31.3%
Reported operating income	11,311	9,992	13,762
Consolidated net income	10,703	10,649	13,137
Operating cash flow	11,599	6,805	7,408
Capital expenditures	1,852	2,064	2,112
Dividends paid	7,952	8,359	8,779

Source: Company Form 10-K (FY2025); author's DCF model. [1] Gross profit less SG&A. Excludes "other operating charges" ($1,951 mm, $4,163 mm and $1,261 mm in 2023–25), which include the fairlife contingent-consideration remeasurement and trademark impairments.

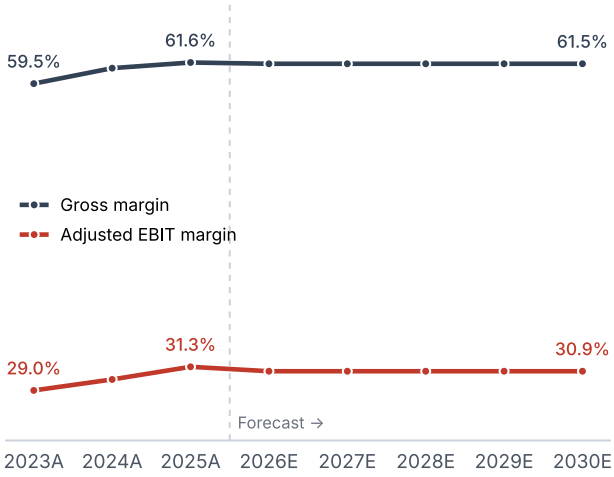
FORECAST ASSUMPTIONS

A five-year forecast that fades growth and holds margins slightly below 2025

Net operating revenues, $ bn (YoY growth inside bars)



Margins, % of revenue



Operating drivers	2026E	2027E	2028E	2029E	2030E
Revenue growth	4.0%	3.6%	3.2%	2.8%	2.4%
Gross margin	61.5%	61.5%	61.5%	61.5%	61.5%
SG&A, % of revenue	30.6%	30.6%	30.6%	30.6%	30.6%
Adjusted EBIT margin	30.9%	30.9%	30.9%	30.9%	30.9%
Tax rate on EBIT	20.9%	20.9%	20.9%	20.9%	20.9%
Capex, % of revenue	4.40%	4.25%	4.05%	3.90%	3.75%
D&A, % of revenue	2.35%	2.55%	2.76%	2.98%	3.20%

Source: author's DCF model. SG&A set at its 2023–25 average; tax rate applied to adjusted EBIT.

Revenue

Growth starts at 4.0% in 2026E and fades by 40 bp a year to 2.4%. The starting point sits below the roughly 5% organic growth of 2025 (volume +1%, price/mix +4%), and the glide path lands close to the 2.0% terminal rate, so the terminal value does not rest on an abrupt step-down.

Margins

Gross margin is held at 61.5% (2025: 61.6%) and SG&A at 30.6% of revenue (2025: 30.3%). Adjusted EBIT margin therefore settles at 30.9%, slightly under 2025's 31.3%: the forecast assumes no further operating leverage.

Reinvestment

Capex falls from 4.4% to 3.75% of revenue while D&A rises from 2.35% to 3.2%. By 2030E capex is only 1.2x D&A, consistent with a mature, asset-light concentrate model.

Working capital

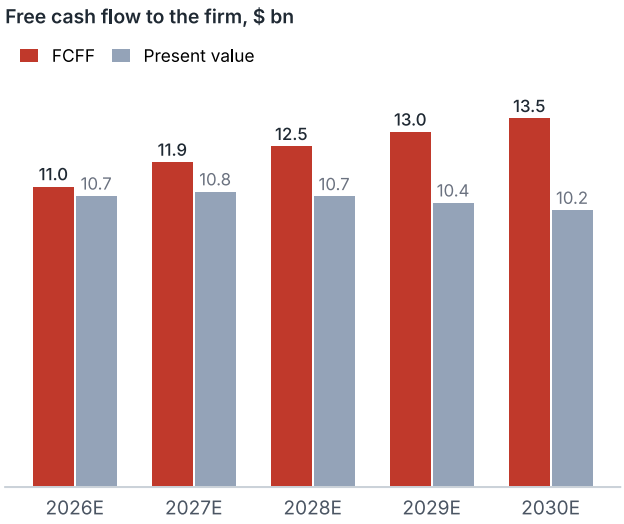
Net working capital is structurally negative (about –11% of revenue in 2025), as payables outweigh receivables and inventory. It is projected from historical days outstanding (DSO 26, DIO 90, DPO 110) and the average ratio of other items, so growth requires almost no funding: the annual change stays below $0.2 bn.

CASH FLOW AND COST OF CAPITAL

Free cash flow grows from $11.0 bn to $13.5 bn, discounted at a 6.58% WACC

$ million	2026E	2027E	2028E	2029E	2030E
Revenue	49,859	51,654	53,306	54,799	56,114
Adjusted EBIT	15,404	15,959	16,470	16,931	17,337
Less: taxes on EBIT	(3,220)	(3,335)	(3,442)	(3,539)	(3,623)
NOPAT	12,185	12,623	13,027	13,392	13,714
Plus: D&A	1,172	1,317	1,471	1,633	1,796
Less: capital expenditures	(2,194)	(2,195)	(2,159)	(2,137)	(2,104)
Net working capital (investment) / release	(125)	191	176	159	140
Free cash flow to the firm (FCFF)	**11,038**	**11,937**	**12,516**	**13,047**	**13,545**
FCFF margin	22.1%	23.1%	23.5%	23.8%	24.1%
Discount factor (mid-year)	0.969	0.909	0.853	0.800	0.751
Present value of FCFF	10,692	10,848	10,672	10,438	10,168

Source: author's DCF model. FCFF = NOPAT + D&A − capex − change in net working capital. Cash flows are discounted at mid-year (0.5 to 4.5 years).



FCFF margin improves from 22.1% to 24.1% as capex intensity declines. The terminal value is $301.6 bn (Gordon growth, g = 2.0%), worth $226.4 bn in present-value terms and equal to 22.3× 2030E FCFF or 15.8× 2030E EBITDA.

Cost of capital

Risk-free rate	4.15%
Equity risk premium	4.46%
Unlevered beta	0.58
Re-levered beta (D/E 15.1%)	0.65
Cost of equity	7.03%
Pre-tax cost of debt (Rf + 70 bp, A1/A+)	4.85%
After-tax cost of debt (tax 25.6%)	3.61%
Weights: equity / debt	86.9% / 13.1%
WACC	**6.58%**

Source: author's DCF model; market data at 31 December 2025.

A low beta reflects Coca-Cola's defensive profile and, with a moderate equity risk premium, gives a cost of equity of 7.0%. Debt is capitalised at 4.85% before tax and makes up 13% of the capital structure, based on $45.5 bn of gross debt against a $300.8 bn market capitalisation.

VALUATION AND CONCLUSIONS

Intrinsic value of $62.03 per share, with the market price requiring a lower discount rate

The explicit forecast contributes $52.8 bn (19%) and the terminal value $226.4 bn (81%) to an enterprise value of **$279.2 bn**. After net debt of $29.7 bn (gross debt less cash, short-term investments and marketable securities), non-controlling interests of $2.1 bn and the addition of equity-method investments at book value ($20.2 bn), equity value is **$267.6 bn**, or $62.03 on 4,315 million diluted shares (options, PSUs and RSUs included).

From enterprise value to value per share, $ per share



Sensitivity: value per share

WACC / g	1.50%	1.75%	2.00%	2.25%	2.50%
5.58%	$71.00	$75.15	$79.88	$85.32	$91.64
6.08%	$63.03	$66.25	$69.86	$73.94	$78.60
6.58%	$56.64	$59.19	**$62.03**	$65.20	$68.75
7.08%	$51.39	$53.46	$55.74	$58.26	$61.05
7.58%	$47.00	$48.71	$50.58	$52.62	$54.87

Source: author's DCF model. Shaded cells are at or above the $69.91 market price; the boxed cell is the base case.

Each ±50 bp on WACC moves value by roughly $6–8 per share; each ±25 bp on terminal growth by about $3.

Conclusions

- **Price versus value.** The market price needs WACC of about 6.1%, or terminal growth slightly above 2.5% at the base WACC, to be justified.
- **Upside not in the base case.** Listed equity-method stakes (Monster, CCEP, Coca-Cola FEMSA, CCHBC and others) are carried at $14.0 bn but worth $34.3 bn at market prices (10-K, Note 6). Marking them to market adds about $4.70 per share, or roughly $67, still 5% below the market price.
- **Overall.** A high-quality, defensive cash generator that looks fully priced on these assumptions.

Key risks to the valuation

Currency. A stronger US dollar reduced 2025 operating income by 12%.

Health and regulation. Obesity concerns and sugar-related taxes could weigh on demand.

Bottler dependence. One bottling partner accounts for 10% of net revenues.

Portfolio changes. The planned sale of African bottling operations (held for sale: $5.3 bn of assets) is not modelled separately.

Tax litigation. The IRS transfer-pricing case is on appeal; the $6.0 bn deposit already paid is not in the bridge.

Terminal value. 81% of value depends on WACC and long-term growth.